

HR Policies for Ethica Trust Bank - A Shariah Compliant Islamic Bank in Sharjah

Preamble: This Human Resources Policy Manual outlines the principles, guidelines, and procedures governing the employment relationship between Ethica Trust Bank and its employees. All policies are designed to foster a fair, ethical, productive, and Shariah-compliant work environment, ensuring compliance with UAE Federal Labor Law, Sharjah regulations, and the principles of Islamic finance and ethics derived from the Quran and Sunnah.

I. Core Principles & Shariah Compliance

1. Shariah Compliance Policy:

- **Objective:** To ensure all HR policies, practices, and employee conduct align with Islamic Sharia principles.
- **Details:**
 - **Sharia Supervisory Board (SSB) Oversight:** The SSB will provide oversight and approval for all HR policies related to compensation, benefits, employee investment schemes, and ethical conduct. Any new financial scheme or significant policy change impacting employee welfare or financial dealings must receive prior SSB approval.
 - **Prohibition of Riba:** All employee loans, advances, or financial assistance offered by the bank shall strictly avoid *Riba* (interest). Approved alternatives include:
 - **Qard Hasan (Benevolent Loan):** Interest-free loans granted for specific hardships (e.g., medical emergencies, education) or certain approved asset purchases (e.g., initial housing deposit). Repayment terms will be clearly stipulated and no additional charges will be levied. Approval process: Manager recommendation, Head of HR approval, and Finance Department disbursement. Maximum loan amount and repayment period will be defined annually based on bank's financial health and employee's tenure/salary.
 - **Profit-Sharing Mechanisms:** Exploration of *Mudarabah* (profit-sharing) or *Musharakah* (joint venture/equity participation) models for employee incentives or long-term savings schemes, subject to SSB approval.

- **Prohibition of Haram Investments:** Any employee-related investment schemes (e.g., provident funds, pension plans, long-term savings plans) managed or facilitated by the bank will only invest in Shariah-compliant assets and instruments, explicitly excluding industries such as alcohol, gambling, conventional interest-based finance, pork products, and un-Islamic media. Funds will be managed by certified Islamic fund managers.
- **Ethical Conduct (*Akhlaq*):** Employees are expected to demonstrate *Akhlaq* (good manners and morals) in all interactions. This includes honesty, trustworthiness (*Amanah*), justice (*Adl*), integrity, kindness, and mutual consultation (*Shura*). Any deviation from these principles may lead to disciplinary action.
- **Religious Observances:**
 - **Prayer Facilities:** Dedicated, clean, and accessible prayer rooms (Musallah) for both male and female employees will be provided.
 - **Prayer Times:** Flexible work adjustments to allow employees to perform their daily prayers without undue hardship. Managers are required to facilitate prayer breaks.
 - **Ramadan Working Hours:** Adherence to reduced working hours during the holy month of Ramadan as per UAE Federal Labor Law.
- **Zakat and Charitable Giving:** While *Zakat* is a personal obligation, the bank may offer a voluntary salary deduction scheme for *Zakat* contributions to approved charitable organizations. The bank itself will calculate and disburse its institutional *Zakat* in accordance with Shariah principles. Employees are encouraged to participate in the bank's CSR initiatives, which will be Shariah-compliant.
- **Avoidance of *Gharar* and *Maisir*:** Employee incentive structures, bonuses, and any financial schemes will be designed to avoid excessive uncertainty (*Gharar*) and gambling (*Maisir*). Performance metrics will be clear and measurable.

2. Code of Conduct and Ethics Policy:

- **Objective:** To establish a framework for ethical behavior, professionalism, and integrity guided by Islamic values.
- **Details:**

- **Integrity and Honesty:** Employees must act with utmost integrity, honesty, and transparency in all dealings, both internal and external. Falsehood, deception, or misrepresentation are strictly prohibited.
- **Confidentiality (*Amanah*):** Strict adherence to confidentiality regarding bank, customer, and employee information. This extends to intellectual property, trade secrets, and non-public financial data. Unauthorized disclosure will lead to severe disciplinary action, including termination and legal action. This commitment continues post-employment.
- **Conflict of Interest:** Employees must avoid situations where their personal interests conflict with the bank's interests. Any potential conflict (e.g., significant financial interest in a competitor, personal relationships with vendors) must be disclosed immediately to their Line Manager and the Head of HR.
- **Gifts and Hospitality:**
 - Employees must not solicit, accept, or offer gifts, entertainment, or hospitality that could be perceived as influencing business decisions or constituting *Rishwah* (bribery).
 - Nominal, customary, and non-monetary gifts of small value (e.g., corporate branded items, refreshments during meetings) may be accepted if they do not create an obligation or appear to influence judgment. Any gift exceeding AED 500 in value must be declared to the Line Manager and HR, and may be donated to charity or returned.
- **Anti-Bribery and Corruption:** Zero tolerance for bribery, corruption, embezzlement, and any illicit practices. Employees must report any suspicious activity immediately.
- **Fair Dealing (*Adl*):** Treat all colleagues, customers, suppliers, and stakeholders with fairness, respect, and dignity, regardless of their background. Discrimination, harassment, or bullying are strictly prohibited.
- **Shariah Board Directives:** All employees must be aware of and comply with directives, fatwas, and guidelines issued by Ethica Trust Bank's Sharia Supervisory Board.

- **Reporting Misconduct (Whistleblowing):** A secure, confidential, and non-retaliatory channel is established for reporting ethical violations, Shariah non-compliance, fraud, or other serious misconduct. Reports can be made to the Head of Internal Audit or a designated Ethics Officer.

II. Recruitment and Onboarding

1. Recruitment and Selection Policy:

- **Objective:** To attract, select, and hire the most qualified candidates based on merit, skills, and ethical alignment with the bank's Shariah principles.
- **Details:**
 - **Merit-Based Hiring (*Kafa'ah*):** Selection is based solely on qualifications, experience, competency, and demonstrated ethical character. Discrimination based on race, gender, nationality, or disability is prohibited, as per UAE Labor Law. Religion is generally not a selection criterion, unless specific Sharia knowledge (e.g., for Sharia Reviewers, Product Developers) or adherence to Islamic principles is a bona fide occupational qualification for the role.
 - **Transparent Process:** All job openings will be advertised internally and externally. The selection process will involve structured interviews, relevant assessments (e.g., technical tests, psychometric evaluations), and thorough reference checks.
 - **Background Checks:** Mandatory comprehensive background checks for all successful candidates, including criminal records, financial solvency (where relevant to the role), and verification of educational qualifications and previous employment references. This ensures trustworthiness (*Amanah*).
 - **Sharia Knowledge Assessment:** For roles requiring specific Sharia expertise, candidates will undergo an assessment by the Sharia Department or Sharia Supervisory Board member to verify their understanding and practical application of Islamic finance principles.
 - **Emiratization Program:** Ethica Trust Bank is committed to supporting UAE National employment and development in line with government directives. Priority will be given to qualified Emirati candidates.

2. Onboarding and Induction Policy:

- **Objective:** To seamlessly integrate new hires into the organization, familiarize them with the bank's culture, values, and Shariah-compliant operations.
- **Details:**
 - **Structured Orientation:** A comprehensive 3-day orientation program covering:
 - Organizational structure, mission, vision, and values.
 - Key HR policies and procedures.
 - IT and information security policies.
 - Overview of Islamic banking principles and Ethica Trust Bank's Shariah governance framework.
 - Introduction to key departments and stakeholders.
 - **Sharia Compliance Training:** Mandatory introductory training session on Shariah compliance, the role of the SSB, and ethical conduct within an Islamic banking context, delivered by the Sharia Department.
 - **Mentorship Program:** New employees will be assigned a mentor (senior colleague) for the first 3 months to assist with integration, answer questions, and provide guidance on bank culture and Shariah adherence.
 - **Resource Provision:** Ensuring new hires have all necessary equipment (laptop, access cards, software access), workspace, and stationery on their first day.

III. Compensation and Benefits

1. Compensation and Salary Policy:

- **Objective:** To provide fair, competitive, and Shariah-compliant compensation that motivates employees and reflects their contribution.
- **Details:**
 - **Fair Wages (Adl):** Compensation is structured based on principles of internal equity, external market competitiveness, role complexity, and individual skills. Ethica Trust Bank aims to provide a living wage that supports employee well-being.

- **Salary Structure:** A clearly defined salary grading system with associated salary bands for each job level. Annual increments are determined by performance appraisal results, market adjustments, and the bank's financial performance.
- **Timely Payments:** Salaries are paid on the 25th of each month, or the closest preceding working day if the 25th falls on a weekend or public holiday. Adherence to prompt payment of wages is a core Islamic teaching.
- **Allowances:**
 - **Housing Allowance:** Provided as a fixed percentage of basic salary or a fixed amount based on grade.
 - **Transport Allowance:** Provided as a fixed amount or reimbursement based on grade and role requirements.
 - **Education Allowance:** For eligible dependent children, subject to specific criteria (e.g., number of children, age, school type) and annual caps, paid annually or semi-annually.
 - **Mobile Allowance:** For roles requiring constant communication, a fixed monthly allowance is provided.
 - All allowances are clearly detailed in the employee's offer letter and employment contract.

2. Benefits Policy (Shariah Compliant):

- **Objective:** To offer comprehensive benefits that support employee well-being and align with Islamic values.
- **Details:**
 - **Health and Medical Insurance:** Comprehensive group medical insurance provided through a reputable *Takaful* (Islamic insurance) provider for the employee and eligible dependents (spouse and up to 3 children, generally). The policy covers inpatient, outpatient, and emergency services as per the selected plan.
 - **Retirement and Pension Plans:**
 - **UAE National Employees:** Contributions to the General Pension and Social Security Authority (GPSSA) as mandated by UAE law.

- **Expatriate Employees:** End-of-service gratuity calculation and payment strictly in accordance with UAE Federal Labor Law.
- **Supplementary Shariah-Compliant Provident Fund:** Establishment of a voluntary, Shariah-compliant provident fund (e.g., *Waqf*-based or *Mudarabah*-based fund) where employees can contribute a portion of their salary, and the bank may provide a matching contribution. All investments of this fund will be Shariah-compliant and overseen by the SSB.
- **Employee Financing Schemes (Shariah Compliant):**
 - ***Qard Hasan* (Benevolent Loans):** As detailed in the Shariah Compliance Policy, interest-free loans are available for unforeseen emergencies or specific approved needs. Application through Line Manager to HR. Approval by Head of HR for amounts up to AED 20,000; larger amounts require Head of HR and Head of Finance approval. Repayment via salary deduction over a maximum of 24 months.
 - **Shariah-Compliant Asset Financing:** Facilitation of *Murabaha* (cost-plus financing) for car purchases or *Ijarah* (leasing) for certain assets, offered by Ethica Trust Bank itself or through approved Islamic financial institutions, ensuring no *Riba* is involved. These are subject to creditworthiness and internal bank policies.
- **Group Takaful Coverage:** Instead of conventional life insurance, Ethica Trust Bank will provide group *Takaful* coverage for employees, offering financial protection to their families in case of death or permanent disability.
- **Employee Welfare Fund:** A Shariah-compliant fund, potentially funded by voluntary employee contributions, bank contributions, and permissible external donations, to assist employees experiencing severe financial hardship (e.g., catastrophic illness, unforeseen disaster). Management and disbursement will be overseen by a committee including HR and Sharia representatives.

IV. Performance Management and Development

1. Performance Management Policy:

- **Objective:** To establish a fair, transparent, and objective system for evaluating employee performance, fostering growth, and aligning individual goals with the bank's mission.
- **Details:**
 - **Goal Setting:** Annual performance goals are set collaboratively between employees and their Line Managers at the beginning of the performance cycle (January). Goals must be SMART (Specific, Measurable, Achievable, Relevant, Time-bound) and include both quantitative targets and qualitative behaviors, emphasizing adherence to ethical and Shariah principles.
 - **Regular Feedback:** Ongoing coaching and informal feedback sessions between employees and managers are encouraged throughout the year. Formal quarterly check-ins are mandatory to review progress and address challenges.
 - **Performance Appraisal:** A formal annual performance appraisal process (typically in December/January) is conducted. Appraisals involve:
 - Employee self-assessment.
 - Manager assessment.
 - Review and calibration by department heads and HR.
 - Discussions should cover achievements, areas for improvement, and adherence to the bank's values and Shariah guidelines.
 - **Performance Improvement Plans (PIPs):** For employees consistently underperforming, a PIP will be implemented with clear objectives, timelines (e.g., 30-90 days), and support from the manager and HR.
 - **Recognition and Rewards:** A recognition program acknowledges exemplary performance, innovative contributions, and consistent adherence to Ethica Trust Bank's values and Shariah principles. Rewards may include non-monetary recognition (e.g., certificates, public acknowledgement), and performance bonuses linked to individual, departmental, and bank-wide performance, structured to be Shariah-compliant (e.g., based on profit-sharing for the bank, rather than interest-based returns).

2. Learning and Development Policy:

- **Objective:** To foster continuous learning, skill development, and professional growth, ensuring employees are equipped with both technical expertise and a deep understanding of Islamic finance.
- **Details:**
 - **Training Needs Analysis (TNA):** Conducted annually to identify skill gaps and development needs at individual, departmental, and organizational levels.
 - **Mandatory Shariah Training:** All new employees must complete an introductory Shariah compliance training within their first month. Annual refresher training on Islamic finance principles, Shariah governance, and ethical conduct is mandatory for all employees, especially those in customer-facing roles, product development, and risk management.
 - **Professional Skill Development:** Support for technical skills training (e.g., banking software, financial modeling), leadership development programs, and soft skills training (e.g., communication, teamwork, problem-solving).
 - **Career Development:** Ethica Trust Bank is committed to internal talent development. Opportunities for internal mobility, promotions, and career pathing are provided based on merit (*Kafa'ah*) and readiness.
 - **Tuition Reimbursement:** Partial or full reimbursement for employees pursuing higher education (e.g., Masters, professional certifications like CFA, ACCA, CIPA) that are directly relevant to their current role or future career path within the bank, subject to approval by Head of Department and HR, and a service bond. Preference may be given to Islamic finance qualifications.

V. Work-Life Balance and Employee Well-being

1. Working Hours and Attendance Policy:

- **Objective:** To define working hours, attendance expectations, and procedures for managing punctuality and absences, in compliance with UAE labor law.
- **Details:**
 - **Standard Working Hours:** 8 hours per day, 5 days a week (Sunday to Thursday), totaling 40 hours per week, in line with UAE Federal

Labor Law. Specific departmental schedules may vary but will adhere to this principle.

- **Overtime:** Any work beyond standard hours must be pre-approved by the Line Manager. Overtime compensation will be calculated and paid as per UAE Labor Law guidelines, ensuring Shariah compliance in the absence of *Riba*-based calculations for compensation.
- **Punctuality and Attendance:** Employees are expected to be punctual and maintain regular attendance. Repeated lateness or unauthorized absence will be subject to disciplinary action.
- **Reporting Absences:** Employees must inform their Line Manager and HR as soon as possible (ideally within 1 hour of their scheduled start time) if they are unable to attend work due to illness or other unforeseen circumstances.

2. Leave Management Policy:

- **Objective:** To provide clear guidelines on various types of leave available to employees, ensuring compliance with UAE labor law and accommodating religious obligations.
- **Details:**
 - **Annual Leave:**
 - **Entitlement:** 30 calendar days of paid annual leave per year for employees who have completed one year of service. Pro-rata leave applies for partial years.
 - **Accrual:** Leave accrues monthly.
 - **Application:** Must be applied for at least 2 weeks in advance through the HR system/form.
 - **Approval:** Line Manager approval required for up to 5 consecutive working days. Department Head approval for 6-15 consecutive working days. Head of HR approval for 16+ consecutive working days or extended periods.
 - **Carry-over:** A maximum of 15 days of unused annual leave can be carried over to the next year. Excess accrued leave will be paid out as per UAE Labor Law.
 - **Sick Leave:**

- **Entitlement:** As per UAE Labor Law: full pay for the first 15 days, half pay for the next 30 days, and unpaid for any subsequent period, provided sick leave is supported by a medical certificate.
- **Application:** Medical certificate from a registered medical practitioner required for sick leave exceeding 2 consecutive days. Must be submitted to Line Manager and HR within 24 hours of returning to work.
- **Maternity Leave:**
 - **Entitlement:** 60 calendar days of maternity leave: first 45 days at full pay, subsequent 15 days at half pay, for female employees who have completed at least one year of service. Pro-rata for less than one year of service.
 - **Additional Leave:** Up to 100 unpaid days if the employee suffers an illness as a result of pregnancy or delivery, requiring a medical certificate.
 - **Nursing Hours:** 1 hour per day for nursing mothers for 6 months after returning to work.
 - **Approval:** Head of HR.
- **Paternity Leave:**
 - **Entitlement:** 5 working days of paid paternity leave within 6 months from the date of child's birth.
 - **Approval:** Line Manager.
- **Hajj/Umrah Leave:**
 - **Entitlement:** Up to 30 calendar days of unpaid leave (beyond annual leave entitlement) for Muslim employees to perform Hajj, once during their employment with Ethica Trust Bank, after completing at least 2 years of continuous service.
 - **Umrah:** Employees may utilize annual leave for Umrah pilgrimage.
 - **Approval:** Head of Department and Head of HR.
- **Compassionate Leave:**

- **Entitlement:** Up to 5 working days for the death of a spouse, up to 3 working days for the death of a parent, child, sibling, or grandparent.
- **Approval:** Line Manager.
- **Study Leave:** Unpaid leave may be granted for relevant higher education, subject to Line Manager and Head of HR approval, and operational requirements. Specific terms (duration, bond) to be agreed upon.
- **Public Holidays:** All official UAE public holidays and Islamic holidays (as declared by the government) are observed as paid holidays.

3. Health, Safety, and Environment (HSE) Policy:

- **Objective:** To provide a safe, healthy, and conducive working environment for all employees, prioritizing their physical and psychological well-being.
- **Details:**
 - **Compliance:** Strict adherence to all local and federal HSE regulations (e.g., Dubai Civil Defense, Ministry of Human Resources and Emiratisation).
 - **Emergency Preparedness:** Clearly displayed emergency exit routes, fire alarms, and fire-fighting equipment. Regular fire drills (at least annually) and emergency response team training.
 - **Workplace Safety:** Regular risk assessments to identify and mitigate hazards. Provision of necessary safety equipment and training. Reporting of all incidents and near-misses.
 - **Ergonomics:** Provision of ergonomic workstations and equipment to prevent work-related injuries.
 - **Mental Health Support:** Promotion of mental well-being through awareness programs, access to confidential counseling services, and support for employees experiencing stress or burnout.
 - **Facilities:** Clean and well-maintained restrooms and prayer facilities.

4. Workplace Conduct and Decorum Policy:

- **Objective:** To promote a respectful, inclusive, and professional work environment aligned with Islamic values.

- **Details:**
 - **Dress Code:** Employees are expected to dress modestly, professionally, and in a manner befitting a Shariah-compliant financial institution. Clothing should be neat, clean, and not overly revealing or provocative. Cultural and religious sensitivities should be respected.
 - **Respectful Communication:** All communication, whether verbal, written, or electronic, must be professional, respectful, and free from offensive language, gestures, or imagery. Gossiping and backbiting (*Gheebah* and *Nameemah*) are prohibited.
 - **Harassment and Bullying Prevention:** Zero tolerance for all forms of harassment (sexual, racial, religious, verbal, physical, psychological) and bullying. Any reported incident will be investigated promptly and impartially, leading to severe disciplinary action. Employees are encouraged to report any such behavior to their Line Manager or HR.
 - **Non-Discrimination:** Ethica Trust Bank is committed to providing equal opportunities and prohibiting discrimination based on race, gender, nationality, religion (unless a bona fide occupational qualification), age, or disability, in line with UAE law and Islamic principles of equality.
 - **Use of Bank Property:** Responsible and ethical use of all bank property, including IT systems, internet, email, and social media platforms. Prohibited uses include accessing inappropriate content, engaging in unauthorized business, or violating intellectual property rights.

VI. Employee Relations and Grievance

1. Grievance Handling Policy:

- **Objective:** To provide a fair, impartial, and prompt mechanism for employees to raise concerns and grievances.
- **Details:**
 - **Stage 1 - Informal Resolution:** Employee should first attempt to resolve the issue with their immediate Line Manager.
 - **Stage 2 - Formal Grievance:** If unresolved, the employee may submit a formal written grievance to the Head of Department within 5 working days of the informal discussion. The Head of

Department will investigate and provide a written response within 7 working days.

- **Stage 3 - HR Intervention:** If still unresolved, the employee may escalate the grievance to the Head of HR within 5 working days of the Head of Department's response. The Head of HR will conduct a thorough investigation, potentially involving an HR committee, and provide a final written decision within 10 working days.
- **Confidentiality:** All grievances will be handled with strict confidentiality to protect the privacy of all parties involved.
- **Non-Retaliation:** Employees raising genuine grievances in good faith will be protected from any form of retaliation.
- **Emphasis on Mediation:** Where appropriate and mutually agreed upon, mediation will be encouraged as a Shariah-compliant approach to conflict resolution.

2. Disciplinary Policy:

- **Objective:** To ensure fair and consistent application of disciplinary actions for misconduct or performance issues, guided by principles of justice and rehabilitation.
- **Details:**
 - **Principles:** Disciplinary action will be fair, consistent, proportional to the offense, and follow due process. The goal is to correct behavior and ensure compliance with bank policies and Shariah principles.
 - **Categorization of Misconduct:**
 - **Minor Misconduct:** (e.g., repeated tardiness, minor dress code violations, minor breaches of procedure).
 - **Serious Misconduct:** (e.g., unauthorized disclosure of confidential information, persistent insubordination, major policy breaches, gross negligence).
 - **Gross Misconduct:** (e.g., fraud, theft, physical assault, severe Shariah non-compliance, serious breach of trust).
 - **Progressive Disciplinary Actions (for Minor/Serious Misconduct):**

- **Verbal Warning:** Issued by Line Manager for minor offenses. Documented internally.
- **Written Warning (First):** Issued by Line Manager with HR approval. Valid for 6 months.
- **Written Warning (Final):** Issued by Head of Department with HR approval. Valid for 12 months. May involve suspension without pay for up to 3 days as per UAE Labor Law.
- **Termination:** For repeated serious misconduct or failure to improve after final warning, in accordance with UAE Labor Law.
- **Investigation Procedure:** For serious misconduct, a formal investigation will be conducted by HR, potentially involving a disciplinary committee. The employee will be given the opportunity to present their side of the story.
- **Right to Be Heard and Appeal:** Employees have the right to be informed of the allegations, present their defense, and appeal a disciplinary decision to the Head of HR (for decisions made by Line Manager/Dept Head) or to the CEO (for decisions made by Head of HR/Disciplinary Committee) within 5 working days of receiving the decision.
- **Immediate Termination (for Gross Misconduct):** As per UAE Labor Law, certain acts of gross misconduct (e.g., theft, assault, disclosure of secrets causing damage) may result in immediate termination without notice or end-of-service benefits. Such cases will undergo thorough investigation and verification.

3. Termination of Employment Policy:

- **Objective:** To outline the procedures for voluntary and involuntary termination of employment, ensuring compliance with UAE labor law and fair practices.
- **Details:**
 - **Resignation:** Employees wishing to resign must submit a written resignation letter to their Line Manager and HR, adhering to the notice period stipulated in their employment contract (typically 30-90 calendar days).

- **Termination by Bank (with notice):** For reasons such as redundancy, poor performance (after PIP), or continued serious misconduct, the bank may terminate employment with written notice as per the employment contract and UAE Labor Law (typically 30-90 calendar days for unlimited contracts).
- **Termination without Notice (Gross Misconduct):** As per UAE Labor Law Article 120, specific instances of gross misconduct may lead to immediate termination without notice or gratuity. This is applied only after a thorough investigation and due process.
- **End-of-Service Benefits (Gratuity):** Calculated and paid strictly as per UAE Federal Labor Law (pro-rata for first 5 years, then full for subsequent years), upon completion of service, provided the termination is not for gross misconduct as per Article 120.
- **Exit Interview:** All departing employees will be offered an exit interview with HR to provide feedback on their employment experience.
- **Handover Process:** A clear and comprehensive handover of responsibilities, documents, and bank property is mandatory for all departing employees.

VII. Data Privacy and Information Security

1. Data Privacy Policy (Employee Data):

- **Objective:** To ensure the protection of employee personal data in compliance with UAE data protection laws (e.g., UAE Data Protection Law, DIFC Data Protection Law if applicable) and Islamic principles of privacy (*Awrah*).
- **Details:**
 - **Collection and Storage:** Personal data (e.g., contact details, bank accounts, medical records, performance reviews) will only be collected for legitimate employment-related purposes, kept secure, and stored for the minimum period required by law.
 - **Access Control:** Access to employee data is restricted to authorized HR personnel and relevant managers on a need-to-know basis.
 - **Employee Rights:** Employees have the right to access their personal data held by the bank, request corrections, and understand how their data is used, subject to legal limitations.

- **Data Security:** Implementation of robust technical and organizational measures (e.g., encryption, access logs, regular audits) to protect employee data from unauthorized access, loss, or disclosure.
- **Third-Party Sharing:** Employee data will only be shared with third parties (e.g., government authorities, insurance providers) when legally required or with explicit employee consent for specific purposes (e.g., medical benefits).

2. Information Security Policy:

- **Objective:** To protect the bank's information assets, including customer data, financial records, and internal communications, from unauthorized access, use, disclosure, disruption, modification, or destruction, in line with banking regulations and *Amanah*.
- **Details:**
 - **Password Policy:** Strong password requirements (minimum 8 characters, alphanumeric, special characters), mandatory password changes every 90 days.
 - **Access Controls:** Role-based access to systems and data. Two-factor authentication for critical systems.
 - **Acceptable Use of IT Systems:** Guidelines for the appropriate use of bank-provided computers, networks, internet, and software. Prohibits illegal activities, viewing inappropriate content, or unauthorized software installation.
 - **Email and Communication:** Professional use of bank email. Prohibits sending confidential information via unsecured channels. All official communication must be on bank channels.
 - **Reporting Security Incidents:** Employees are mandated to immediately report any suspected security breaches, phishing attempts, or unauthorized access to the IT Security Department.
 - **Confidentiality Agreements:** All employees must sign a confidentiality agreement upon joining and adhere to its terms throughout and post-employment.

VIII. Other Essential Policies

1. Workplace Flexibility and Remote Work Policy:

- **Objective:** To outline the conditions and guidelines for flexible working arrangements, including remote work, where feasible and beneficial for both the employee and the bank.
- **Details:**
 - **Eligibility:** Determined based on job role suitability, employee performance, and departmental needs. Not all roles are eligible for remote work.
 - **Application Process:** Employees must submit a formal request to their Line Manager and Head of Department, with final approval from the Head of HR.
 - **Agreement:** A formal remote work agreement specifying terms, hours, communication expectations, and security protocols will be signed.
 - **Equipment:** The bank will provide necessary equipment (e.g., laptop, secure access) for remote work. Employees are responsible for maintaining a suitable and secure home working environment.
 - **Performance Monitoring:** Performance expectations remain the same for remote workers. Regular check-ins and performance reviews will be conducted.

2. Social Media Policy:

- **Objective:** To guide employees on appropriate online conduct, especially concerning the bank, colleagues, and customers, ensuring professional reputation and Shariah-compliant representation.
- **Details:**
 - **Professional Conduct:** Employees must maintain professionalism online, even on personal social media accounts, ensuring their online activities do not negatively impact the bank's reputation or violate confidentiality.
 - **Confidentiality:** Prohibition of sharing any confidential bank or customer information on social media.
 - **Representing the Bank:** Employees must clearly state that their opinions are personal and not those of Ethica Trust Bank when discussing work-related topics. Avoid impersonating the bank or its representatives.

- **Respectful Interaction:** Avoid posting defamatory, discriminatory, or harassing content targeting colleagues, customers, or the bank.
- **Compliance:** Adherence to all legal requirements regarding online content (e.g., defamation laws, cybercrime laws in UAE).

3. **Anti-Money Laundering (AML) and Counter-Terrorism Financing (CTF) Compliance Policy:**

- **Objective:** To ensure all employees understand and comply with AML/CTF regulations, reflecting the Islamic prohibition of illicit gains and support for justice.
- **Details:**
 - **Mandatory Training:** All employees will receive mandatory annual AML/CTF training, specific to their role and responsibilities.
 - **Employee Responsibilities:** Employees are responsible for identifying and reporting any suspicious transactions or activities to the bank's Compliance Department or Money Laundering Reporting Officer (MLRO).
 - **"Know Your Customer" (KYC) / "Know Your Employee" (KYE):** Strict adherence to KYC procedures for customers and robust KYE procedures for employees to prevent illicit activities.
 - **Zero Tolerance:** Any involvement in money laundering or terrorism financing activities will result in immediate termination and reporting to the relevant authorities.

4. **Succession Planning and Talent Management Policy:**

- **Objective:** To identify and develop future leaders and critical talent within the bank, ensuring continuity and growth.
- **Details:**
 - **Talent Identification:** Annual talent reviews to identify high-potential employees and critical roles.
 - **Development Programs:** Tailored development plans, including mentorship, coaching, job rotations, and external training, to prepare identified talent for future leadership roles.
 - **Succession Pathways:** Creation of clear succession plans for key leadership and specialized positions.

5. **Employee Communication Policy:**

- **Objective:** To establish clear channels and methods for effective communication between management and employees.
- **Details:**
 - **Formal Channels:** Official internal announcements via email, intranet, or notice boards.
 - **Regular Meetings:** Departmental meetings, town halls, and quarterly CEO addresses.
 - **Feedback Mechanisms:** Employee suggestion schemes, anonymous feedback channels, and regular employee engagement surveys to foster a culture of open communication and continuous improvement.

6. Intellectual Property Policy:

- **Objective:** To define ownership of intellectual property created by employees during their employment.
- **Details:** All intellectual property (e.g., software, processes, research, reports) developed by employees in the course of their employment or using bank resources is the exclusive property of Ethica Trust Bank.

7. Crisis Management and Business Continuity Policy (HR Aspect):

- **Objective:** To outline HR's role in supporting employees during crises and ensuring business continuity.
- **Details:**
 - **Emergency Communication:** Protocols for communicating with employees during emergencies (e.g., natural disasters, security threats).
 - **Employee Support:** Provision of support (e.g., counseling, temporary accommodation, financial assistance from the welfare fund) for employees affected by crises.
 - **Relocation Plans:** Strategies for temporary relocation of staff and operations to maintain essential services.

Implementation and Review:

- **Communication:** This entire HR Policy Manual will be made available to all employees on the bank's intranet. All new employees will receive a copy during onboarding.
- **Training:** Regular training sessions on key policies, especially those related to Shariah compliance, ethics, AML/CTF, and IT security, will be mandatory for all employees.
- **Review Cycle:** All policies will be reviewed at least annually (or more frequently if required by regulatory changes, internal audits, or Sharia Supervisory Board directives) by the HR Department in consultation with relevant stakeholders (e.g., Legal, Compliance, Sharia Department).
- **Approval:** Any amendments or new policies must be approved by the Head of HR, CEO, and where applicable, the Sharia Supervisory Board.

By meticulously developing and implementing these policies, Ethica Trust Bank aims to create a robust and ethical HR framework that not only meets modern workplace demands but also deeply embeds its operations within the ethical and moral guidelines of Islamic Sharia, fostering trust and well-being for all its employees.